Answer **all** questions.

Question 1: Economic problems caused by drought and the coronavirus (COVID-19) pandemic

Extract 1: Australia's bushfires will significantly reduce consumer confidence and harm industries such as farming and tourism

Australia is suffering from devastating bushfires that will cause severe economic damage. The fires will further reduce Australia's already weak consumer confidence and increase the likelihood of a cut in interest rates. The fires are causing damage to the economy through increased air pollution and direct harm to industries such as farming and tourism.

In the past, bushfires had tended only to hurt local economies directly in the path of the flames, but now the risk of there being indirect macroeconomic effects is high, given the scale of the fires. The direct effect of the fires on local industries comes on top of the pain of Australia's lengthy drought that caused damage to crops and put upward pressure on prices of fresh fruit and vegetables. Tourism has also been badly affected by the bushfires in what is normally peak season. Tourism representatives say the rebuilding will cost hundreds of millions of Australian dollars (A$). Visitor numbers are significantly down as smoke haze and uncertainty about safety keep local and international travellers away.

The indirect damage to the economy will be significant. This includes air pollution, which has affected 30% of the population and will cause reduced worker productivity, increased health spending, and lower crop yields.

The devastating impact of the fires will also mean that the already fragile domestic consumer confidence will be further harmed. Australian consumers were already reducing their discretionary spending and now the widespread pollution and devastation are further deterrents.

The Australian central bank is likely to cut the official interest rate from the already record low level of 0.75%. Direct spending by the government on the economic recovery effort is likely to be more effective. Fiscal measures can target the particular areas concerned, whereas monetary policy tends to have a more general impact. The government has so far pledged A$2 billion over the next two years for measures to deal with the damage caused by the bushfires. The previous policy commitment to running a budget surplus is now seen as unrealistic.

Source: Ben Butler, The Guardian, *8 Jan 2020*

Extract 2: Coronavirus: Australia set for first recession in three decades

Official figures show that the Australian economy contracted by 0.3% in the first three months of the year, amid bushfires and the early stages of the coronavirus outbreak. Economists expect data for the second quarter to confirm that shutdowns have pushed the country into recession. It comes even after the government and central bank took measures to support the economy.

The latest Gross Domestic Product (GDP) figures highlight that the economy was struggling from a devastating bushfire season, a slowdown in tourism and weak domestic demand even before the virus-related restrictions started. In March 2020, the Reserve Bank of Australia cut the interest rate to a new record low of 0.25%. A rise in the Consumer Price Index (CPI) of 2.2% in the 12 months to March 2020 has made the real interest rate negative. The Australian government has also pledged hundreds of billions of Australian dollars to help support businesses and individuals and has signalled that more stimulus measures would be announced soon.

Source: BBC News, 3 June 2020

Extract 3: Australian economy will need up to A$90bn extra after coronavirus shock

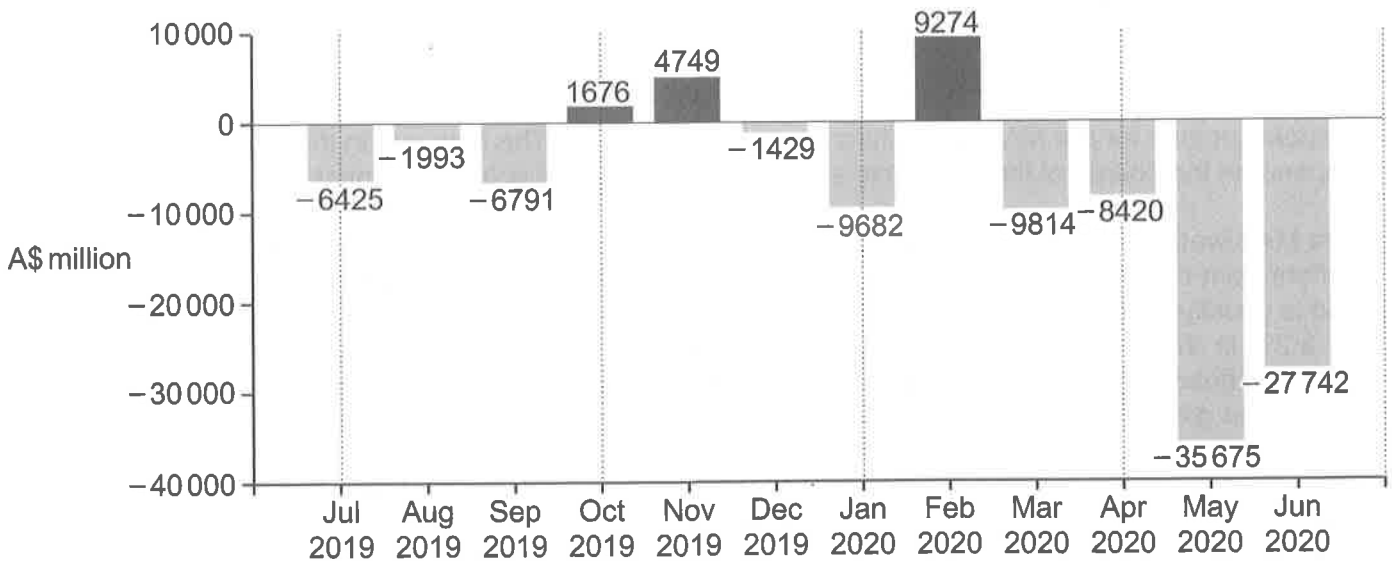
The Australian government needs to spend an extra A$70 billion to A$90 billion on stimulus and support measures to help the nation recover from the biggest economic shock since the Second World War, according to a new independent report by the Grattan Institute. This sets out a wide-ranging agenda for the next six months. It argues that the government needs to phase out virus-related emergency support measures more gradually than currently planned, to avoid slowing a recovery. It also calls on the government to introduce other forms of economic stimulus including rent assistance and childcare subsidies. With Australia facing the effects of a deep global recession, the report notes that government spending to reduce the impact has already exceeded more than A$160 billion to support households and businesses. Many of these support measures are due to end in September 2020.

The government has indicated further targeted assistance to sectors that require longer-term support, including aviation and tourism. The report warns that further stimulus is needed if the government wants to get unemployment back down to 5% or below by mid-2022, for example by spending on services, infrastructure and social housing construction.

The report says now is not the time to 'panic' about increasing government debt levels. 'Assuming interest rates remain low, the Australian government should be in no rush to balance its budget while the economy remains weak. Failing to provide support will mean many Australians remain unemployed for longer'. It also says the Reserve Bank should be prepared to use monetary policy tools more aggressively.

Source: Daniel Hurst, The Guardian, *28 June 2020*

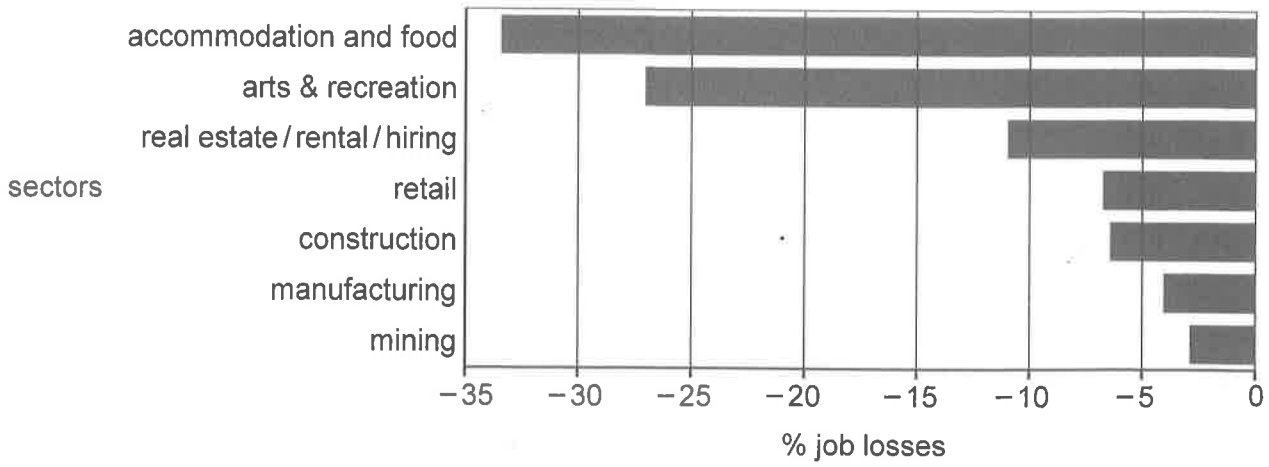
Figure 1: Australian Budget Balance*, July 2019 to June 2020



*The budget balance is the difference between government spending and revenue.

Source: Tradingeconomics.com I Reserve Bank of Australia

Figure 2: Australian job losses since coronavirus restrictions, March to April 2020



Source: Australian Bureau of Statistics

Extract 4: Singapore eases monetary policy as its economy is hit

The Monetary Authority of Singapore (MAS) eased monetary policy today as the city-state, seen as a reliable indicator of the health of global trade, heads for a deep recession due to the coronavirus pandemic. The easing matches moves made by other countries and comes after data last week showed the city-state suffered its sharpest economic contraction since the global financial crisis of 2008–09.

The MAS allowed the Singapore dollar to weaken against a basket of currencies of its major trading partners. Instead of using interest rates, trade-reliant Singapore manages monetary policy by letting the Singapore dollar rise or fall.

A spokesperson for the MAS said 'Major uncertainty remains. The recovery in the global economy will depend on the course of the pandemic and the effectiveness of policy responses'.

The MAS was supposed to issue its next policy statement in April but brought it forward as the country suffers from the economic impact of the virus. Singapore is one of the world's most open economies, and is usually hit hardest and earliest during any global shock. Gross Domestic Product (GDP) shrank by 2.2% in the first quarter compared with the previous year. This was the worst decline since the 2008–09 financial crisis, according to figures released last week by the Ministry of Trade and Industry (MTI). The growth forecast has been downgraded, and GDP is projected to fall by up to 4% this year.

With global demand severely reduced by business closures, a halt in air travel and other measures to contain the virus, Singapore's easing of monetary policy is more to reflect the current economic climate than to support exports. An economist expressed the view that we cannot have a strong Singapore dollar when the global economy is in deep recession.

Source: Asia Times, *30 March 2020*

(a) Use a supply and demand diagram in each case to explain why:

(i) the price of fresh fruit and vegetables in Australia has risen as a result of the drought. [2]

(ii) international tourist arrivals into Australia are expected to fall as a result of the bush fires. [2]

(b) With reference to the data, explain **one** possible reason for the change in Australia's budget balance from February to June 2020. [2]

(c) With reference to Extract 2, explain why a nominal rate of interest of 0.25% in March 2020 would be described as being 'negative' in real terms. [2]

(d) Explain how a negative real interest rate is likely to affect savings by consumers and the exchange rate in Australia. [4]

(e) Given the weakening of Singapore's exchange rate, discuss whether a stronger exchange rate would be of overall benefit to Singapore when 'the global economy is in deep recession' (Extract 4). [8]

(f) Discuss whether fiscal policy is the most effective way to bring unemployment down in Australia. [10]

[Total: 30]